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Newmont Mining's First-Quarter Profit Down Sharply

But results excluding certain items beat Wall Street consensus

By Maria Armental

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Newmont's gold production rose 3% to 1.23 million ounces. RICK WILKING/REUTERS

Newmont Mining Corp.'s NEM **-3.26%** ▼ first-quarter profit fell sharply, hurt by higher expenses, though its results excluding certain items beat the Wall Street consensus.

Newmont reported a quarterly profit of $52 million, or 10 cents a share, down from $183 million, or 37 cents a share, a year earlier. Excluding certain items, profit fell to 34 cents a share from 46 cents. Revenue rose 3% to $2.03 billion. Analysts surveyed by Thomson Reuters had projected a profit of 20 cents a share on $1.87 billion in sales.

Newmont also affirmed its production guidance.

In the quarter ended March 31, Newmont said the average realized gold and copper prices fell to $1,194 a troy ounce and $2.02 a pound, respectively, compared with $1,203 an ounce and $2.34 a pound a year earlier.

Newmont's gold production rose 3% to 1.23 million ounces, while copper output reached 38,000 metric tons from 37,000 metric tons a year earlier.

The price of gold has risen 18% this year as investors, worried about global economic prospects, have turned to what is considered a safe haven. The price of gold for June delivery settled on Wednesday at $1,254.40 a troy ounce on the Comex division of the New York Mercantile Exchange.

Meanwhile, copper futures for May delivery rose 0.7% on Wednesday to $2.2380 a pound.

Prices of copper, considered a global economic barometer because the metal is used widely across manufacturing and construction, had sunk amid an economic slowdown in China, the world's top copper buyer. But growing optimism over China's economy and a weaker U.S. dollar have helped copper prices recently. Most commodities are priced in U.S. dollars, making them more expensive for buyers abroad when the dollar strengthens.

Newmont's shares, largely inactive in after-hours trading, closed on Wednesday at $30.45, up 29% over the past 12 months.

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Maria Armental covers private equity for The Wall Street Journal, with a focus on tech and health. Her coverage examines a wide-ranging and influential industry and some of its top dealmakers.

Before joining the Journal, Maria was a reporter for the Providence Journal....

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